CASE STUDY Cyber Crime

UPI fraud is one of the most common cybercrimes in India, targeting users through deception rather than technical hacking. In this type of fraud, attackers trick victims into authorizing payments themselves.

A typical scenario begins when a fraudster contacts the victim via phone, SMS, or WhatsApp, pretending to be a bank official, delivery agent, or buyer. First, they create urgency or trust (e.g., “Your KYC will expire” or “You’ve received a payment”). Next, they send a UPI “collect request” or a malicious link. The victim is instructed to enter their UPI PIN to “receive money” or “verify identity.” In reality, entering the PIN approves a payment from the victim’s account to the fraudster. Within seconds, the money is transferred and often moved across multiple accounts, making recovery difficult.

Targets are usually everyday smartphone users, especially those unfamiliar with digital payment security—such as elderly individuals, small shop owners, or first-time UPI users.

The consequences can be severe: immediate financial loss, mental stress, and low chances of recovery if not reported quickly. Victims may also lose trust in digital systems.

A real example includes multiple reported cases by the **Reserve Bank of India (RBI)** and news outlets where users lost thousands of rupees due to fake UPI collect requests.

This highlights the importance of awareness: never share your UPI PIN and remember—**you do not need to enter a PIN to receive money**.